8. Income Taxes

The provision or benefit for income taxes includes U.S. federal income taxes (determined on a consolidated return basis), foreign income taxes, and state income taxes.

Income from continuing operations before income taxes for the years ended December 31 was composed of the following components:

	2015	2014	2013
		(In thousands)	
United States	$ 331,622	$ 360,800	$ 199,374
Foreign	38,729	41,800	45,832
	$ 370,351	$ 402,600	$ 245,206

Income tax provision (benefit) for the years ended December 31 consisted of the following:

	2015	2014	2013
		(In thousands)	
Current:			
United States	$ 94,502	$ 67,511	$ 2,207
Foreign	9,270	10,859	12,445
State	13,207	17,939	6,664
Total current income taxes	116,979	96,309	21,316
Deferred:			
United States	$ 15,918	$ 108,514	$ 64,355
Foreign	(878)	(653)	58
State	3,008	21,810	7,295
Total deferred income taxes	18,048	129,671	71,708
Total income taxes	$ 135,027	$ 225,980	$ 93,024

We made income tax payments of $105.4 million, $106.3 million, and $26.0 million in 2015, 2014, and 2013, respectively, and received refunds of $1.9 million, $0.6 million, and $0.5 million, respectively.

The differences between the U.S. federal statutory income tax rate and our effective tax rate for the years ended December 31 were as follows:

	2015	2014	2013
		(In thousands)	
Computed tax provision at the applicable federal statutory income tax rate	$ 129,623	$ 140,910	$ 86,002
State and local taxes, net of federal income tax benefits	10,542	25,736	8,221
Dividends received deduction and tax exempt interest	(444)	(1,612)	(592)
Foreign jurisdiction differences	(5,183)	(4,424)	(3,685)
Permanent differences associated with dispositions	2,909	61,892	268
Changes in uncertain tax positions	4,046	4,624	3,710
Other	(6,466)	(1,146)	(900)
Provision for income taxes	$ 135,027	$ 225,980	$ 93,024
Total effective tax rate	36.5%	56.1%	37.9%

The 2015 consolidated effective tax rate was 36.5%, compared to 56.1% and 37.9% in 2014 and 2013, respectively. The higher effective tax rate for the twelve months ended December 31, 2014 was primarily due to the non-deductible goodwill resulting from the gains on required divestitures associated with the Stewart acquisition. The 2015 consolidated effective tax rate is above the 35.0% federal statutory tax rate primarily due to the state expense partially offset by state legislative changes and foreign earnings taxed at lower rates.

Deferred taxes are determined based on differences between the financial reporting and tax bases of assets and liabilities and are measured using the enacted tax rates. The tax effects of temporary differences and carry-forwards that give rise to significant portions of deferred tax assets and liabilities as of December 31 consisted of the following:

	2015	2014
	(In thousands)	
Inventories and cemetery property	$ (338,143)	$ (338,446)
Property and equipment	(168,265)	(183,332)
Intangibles	(302,217)	(309,271)
Other	(12,047)	(6,870)
Deferred tax liabilities	(820,672)	(837,919)
Loss and tax credit carry-forwards	171,725	181,092
Deferred revenue on preneed funeral and cemetery contracts	226,483	262,202
Accrued liabilities	102,351	99,908
Deferred tax assets	500,559	543,202
Less: Valuation allowance	(126,654)	(134,201)
Net deferred income tax liability	$ (446,767)	$ (428,918)

Deferred tax assets and *Deferred income tax liabilities* are recognized in our Consolidated Balance Sheet at December 31 as follows:

	2015	2014
	(In thousands)	
Current deferred tax assets	$ —	$ 1,128
Non-current deferred tax assets	23,817	18,778
Non-current deferred tax liabilities	(470,584)	(448,824)
Net deferred income tax liability	$ (446,767)	$ (428,918)

In addition to the loss and tax credit carry-forward amounts reflected as deferred tax assets in the table above, we have taken certain tax deductions related to the exercised employee stock options and vested restricted shares that are in excess of the stock-based compensation amounts recorded in our consolidated financial statements (“windfall tax benefits”). Such

windfall tax benefits are not recognized in our consolidated financial statements unless they reduce income taxes payable. For the year ended December 31, 2015, restricted share vesting and stock option exercises resulted in windfall tax benefits where the tax deduction exceeded the previously disallowed book expense in the amount of $43.5 million or $16.2 million net of tax.

At December 31, 2015 and 2014, U.S. income taxes had not been provided on $259.8 million and $259.4 million, respectively, of the remaining undistributed earnings of our Canadian subsidiaries. We intend to permanently reinvest these undistributed foreign earnings in those businesses outside the United States. It is not practicable to determine the amount of federal income taxes, if any, that might become due if such earnings are repatriated.

The following table summarizes the activity related to our gross unrecognized tax benefits from January 1, 2013 to December 31, 2015 (in thousands):

	Federal, State and Foreign Tax
	(In thousands)
Balance at December 31, 2012	$ 184,899
Reductions to tax positions related to the current year	3,019
Additions to tax positions related to the acquisition of Stewart, offset to goodwill	1,556
Reductions to tax positions related to prior years	(8,800)
Statute expirations	(2,844)
Balance at December 31, 2013	$ 177,830
Additions to tax positions related to the current year	8,721
Additions to tax positions related to prior years	10,085
Reductions to tax positions related to the current year	(1,075)
Reductions to tax positions related to prior years	(2,325)
Reductions to tax positions related to the acquisition of Stewart, offset to goodwill	(1,556)
Balance at December 31, 2014	$ 191,680
Additions to tax positions related to the current year	3,235
Reductions to tax positions related to prior years	(12,370)
Balance at December 31, 2015	$ 182,545

Our total unrecognized tax benefits that, if recognized, would affect our effective tax rates were $157.2 million, $154.8 million, and $106.3 million as of December 31, 2015, 2014, and 2013, respectively.

We include potential accrued interest and penalties related to unrecognized tax benefits within our income tax provision account. We have accrued $51.6 million, $47.6 million, and $44.5 million for the payment of interest, net of tax benefits, and penalties as of December 31, 2015, 2014, and 2013, respectively. We recognized an increase of interest and penalties of $4.0 million, $3.1 million, and $3.0 million for the years ended December 31, 2015, 2014, and 2013, respectively. To the extent interest and penalties are not assessed with respect to uncertain tax positions or the uncertainty of deductions in the future, amounts accrued will be reduced and reflected as a reduction of the overall income tax provision.

We file income tax returns, including tax returns for our subsidiaries, with federal, state, local, and foreign jurisdictions. Our tax returns are subject to routine compliance review by the taxing authorities in the jurisdictions in which we file tax returns in the ordinary course of business. We consider the United States to be our most significant tax jurisdiction; however, the taxing authority in Canada is auditing various tax returns. While we have effectively concluded our 2003 - 2005 tax years with respect to our affiliate SCI Funeral and Cemetery Purchasing Cooperative, SCI and subsidiaries' tax years 1999 through 2005 remain under review at the IRS Appeals level. SCI and subsidiaries are under audit for 2006-2007 as a result of carry back claims. Furthermore, SCI and its affiliates are under audit by various state and foreign jurisdictions for years 2000 through 2014. It is reasonably possible that changes to our global unrecognized tax benefits could be significant; however, due to the uncertainty regarding the timing of completion of audits and possible outcomes, a current estimate of the range of increases or decreases that may occur within the next twelve months cannot be made.

Various subsidiaries have state and foreign carry-forwards in the aggregate of $3.2 billion with expiration dates through 2032. Such loss carry-forwards will expire as follows:

	State	Foreign	Total
	(In thousands)		
2016	$ 156,434	$ —	$ 156,434
2017	247,348	—	247,348
2018	102,661	—	102,661
2019	137,636	—	137,636
Thereafter	2,587,522	3,824	2,591,346
Total	$ 3,231,601	$ 3,824	$ 3,235,425

In addition to the above loss carry-forwards, we have $53.7 million of foreign losses that have an indefinite expiration.

A valuation allowance has been established because more-likely-than-not uncertainties exist with respect to our future realization of certain loss carry-forwards. The valuation allowance is primarily attributable to state net operating losses and reflects our expectation that the net operating losses in certain jurisdictions will expire before we generate sufficient taxable income to utilize the losses. In 2015, we recorded a net $6.0 million decrease in state valuation allowance related to state estimated net operating losses expected to be utilized before they expire. We recorded a $1.6 million decrease in foreign valuation allowances due to fluctuations in the exchange rate between the Euro and the US dollar. The valuation allowance can be affected in the near term by changes to tax laws, changes to statutory tax rates, and changes to future taxable income estimates.

At December 31, 2015, our loss and tax credit carry-forward deferred tax assets and related valuation allowances by jurisdiction are as follows (presented net of federal benefit):

	Federal	State	Foreign	Total
		(In thousands)		
Loss and tax credit carry-forwards	$ 179	$ 151,463	$ 20,083	$ 171,725
Valuation allowance	$ —	$ 110,955	$ 15,699	$ 126,654